Seminar 4

What is money, really?

Complements Lecture 4: money, liquidity, and the challengers

The big picture: why this matters

You use money every day without asking what it is or where it comes from. The answers are surprising, and they are being rewritten right now by technology.

1. Banks, not the government, make most money

About 97% of the money in the economy is not notes and coins.

It is bank deposits, created when commercial banks make loans. The government prints only the other ~3%.

2. The money of the future is being decided

The Bank of England is designing a 'digital pound' (a CBDC), and stablecoins like USDC are now being regulated as payment money.

Meanwhile cash use keeps falling. What counts as money is genuinely up for grabs.

Money is not a thing, it is trust that does three jobs. Today you'll test what qualifies, and see who really creates it.

Where this fits, and today's aim

From Lecture 4 (the ideas)

- Money is anything that does three jobs: medium of exchange, store of value, unit of account.
- It is backed by trust, not gold; about 97% is created by banks lending.
- Challengers: crypto, stablecoins, and a central-bank digital currency.

This seminar (what you'll DO)

- apply the three-part test to decide what is, and is not, money;
- show on a balance sheet how a bank creates money simply by lending;
- weigh crypto, stablecoins and a digital pound against that same test.

Money is anything that does three jobs

1

Medium of exchange

people accept it in payment, so you avoid barter

2

Store of value

it holds its worth from today until you spend it

3

Unit of account

prices are quoted in it, so you can compare

A thing is 'money' only if it does all three reasonably well. Currency (notes and coins) is just one form of money, and only about 3% of it.

Keep these three tests in your head, we're about to apply them to some things you might not expect.

Activity: is this money?

For each item, score it against the three jobs. Money, near-money, or not money?

A bank deposit	MONEY: does all three; it is most of the money supply.
Gold	NOT money today: a store of value, but you can't spend it in a shop or price a coffee in it.
Company shares	NEAR-MONEY: sellable for cash, but the value moves and you can't pay with them.
Bitcoin	FAILS the test as everyday money: too volatile to store value or price things reliably.

Activity: money created, money destroyed

A bank does not lend out existing cash. When it lends, it writes a new deposit onto both sides of its own balance sheet at once.

1. The bank lends you £1,000

Assets: new loan +£1,000

Liabilities: your deposit +£1,000

Both sides grow. That new deposit is brand-new money that did not exist a second earlier.

2. Your turn: you repay the £1,000

Fill in the change to each side, then check below.

Assets: loan -£1,000

Liabilities: deposit -£1,000

Both sides shrink. The money vanishes.

Lending creates money; repaying it destroys money. About 97% of all money is made this way, so banks largely decide how much money exists.

Activity: rank them by safety

Place each on the pyramid of trust. Which is the SAFEST money, and which the riskiest? The test: whose promise is it, and could they fail?

A Bank of England reserve or a £10 note	SAFEST: central-bank money, the base of the pyramid. Its issuer cannot run out of its own currency.
Your Barclays current account	Commercial-bank money (about 97% of all money). Safe-ish, but Barclays itself could fail.
A PayPal balance or a USDC stablecoin	E-money: a promise resting on the promises below. Least safe, only as good as its backing.
A gold sovereign coin	The odd one out: not an IOU at all. Its value is the metal, so nobody owes you anything.

Activity: which money for the job?

For each real task, which form of money would you actually use, and why? Match it, then defend the choice.

Send £500 to family abroad this afternoon	A stablecoin (or bank transfer): a normal remittance costs about 6%, a stablecoin cents, in seconds.
Hold your £5,000 savings for two years	An insured bank deposit, not Bitcoin: you need a stable store of value, not a gamble.
Buy a coffee on the high street	Cash or a card/phone wallet: instant and accepted everywhere. Crypto rarely is.
A state paying benefits to millions at once	A digital pound (CBDC): central-bank money sent direct to everyone, no bank needed.

In your groups: launch a digital pound?

Should the UK launch a digital pound? Split into a YES group and a NO group, argue your side using today's ideas, then let the room decide with a vote.

YES: the case for

Central-bank money for everyone, safe and instant. It could help people without bank accounts, cut payment fees, and keep public money relevant as cash disappears.

NO: the case against

Privacy: the state could see how you spend. And in a panic everyone could flee bank deposits for the safe digital pound, making bank runs easier (Seminar 3).

A digital pound passes the three jobs of money easily. The real argument is about privacy and financial stability, not whether it works as money.

Three traps to avoid in the exam

1

Money is not the same as currency

Currency is only notes and coins, about 3%. Money is anything that does the three jobs, mostly bank deposits.

2

'The government prints most money'

No: about 97% is created by commercial banks when they lend. The state issues only the cash.

3

Treating near-money as money

Shares and gold can be sold for cash, but their value moves and you can't pay with them, so they are near-money, not money.

Exam-style question

Most of the money in the economy is created when:

A) the government prints banknotes

B) commercial banks make loans

C) the central bank sets interest rates

D) households save money

Answer: B. Around 97% of money is commercial-bank deposits, created when banks lend. Cash (from the state) is only about 3%.

Take these away

- Money is anything that does three jobs: medium of exchange, store of value, unit of account.
- Currency (notes and coins) is only about 3% of money; about 97% is bank deposits.
- Banks create money by lending: the loan and the deposit appear together on the balance sheet.
- Crypto, stablecoins and a digital pound are all judged by the same three jobs.

Before Seminar 5: be able to explain the three jobs of money, the 97% point, and how a bank creates money by lending.